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## BoE (Apr-26): Rates on hold as MPC assesses second-round risks

- MPC votes 8-1 to hold Bank Rate at 3.75%, signalling greater concern over inflation persistence but no immediate shift in policy
- Minutes stress policy should look through direct energy effects, tightening only if second-round pressures emerge
- Tighter financial conditions buy time, with market pricing for near-term rate hikes scaled back as the MPC adopts a wait-and-see approach

### Bank Rate held at 3.75%, but inflation risks intensify

The Bank of England (BoE) left Bank Rate unchanged at 3.75% at its April policy meeting, a decision that was widely expected by both us and financial markets. However, the 8-1 vote split marked a shift in tone relative to March, underlining growing concern within the Monetary Policy Committee (MPC) over the persistence of inflationary pressures. One member – the BoE's chief economist, Huw Pill – voted in favour of an immediate 25bp increase, reflecting concern that higher global energy prices could give rise to more persistent inflation, while the majority judged that further evidence was required before adjusting policy.

Unlike March – the first meeting following the onset of the Iran war – April's decision was accompanied by a Monetary Policy Report (MPR), allowing the MPC to set out its assessment of the economic outlook in more detail. Given the unusually high degree of uncertainty surrounding the impact of the Middle East conflict, the Bank softened the importance of its traditional central forecast, instead placing greater emphasis on a set of alternative scenarios to capture a range of possible inflation and growth outcomes.

### Divisions emerge, but balance still favours no change

The MPC acknowledged that headline inflation is likely to rise further in the near term as higher energy costs feed through to households and firms. As in March, members stressed that monetary policy cannot offset the direct mechanical impact of higher energy prices. Instead, the key risk for policy is whether the shock leads to material second-round effects in wage- and price-setting behaviour.

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**Chart 1: Market rate hike bets scaled back a touch but remain elevated**

#### Market-implied Bank Rate at end-26, %



Source: Bloomberg, Macrobond, Lloyds Bank Market Insights

Compared with earlier in the year, the Committee's tolerance for above-target inflation appears to have diminished. The split vote, alongside explicit references in the minutes to wage-persistence risks, suggests the bar for renewed tightening has lowered. However, the majority of the Committee judged that an immediate hike would be premature, preferring to wait for clearer confirmation that second-round pressures are emerging.

## Growth concerns provide a counterbalance

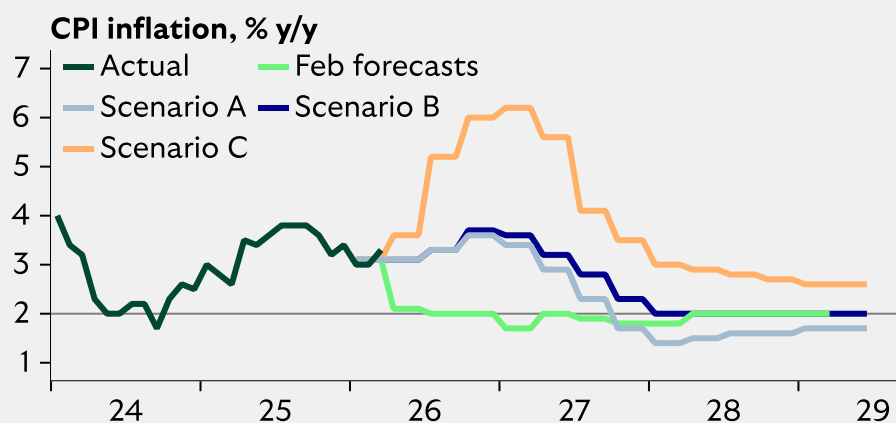
Offsetting these inflation risks, the MPC highlighted signs of a weakening domestic economy. Labour market conditions continue to loosen, employment growth has softened, and broader activity indicators point to subdued momentum. The Committee judged that rising slack should help dampen domestically generated inflation pressures over time.

Crucially, members also noted that financial conditions have tightened materially since geopolitical tensions escalated. Higher market interest rates, wider credit spreads and tighter household financing conditions are already acting as a restraint on demand. This effective tightening was seen as doing some of the policy work, reducing the urgency for immediate action, buying time for the MPC to wait for incoming data before adjusting policy.

## Scenario-based outlook underscores policy flexibility

A notable feature of the April meeting was the BoE's increased emphasis on scenario analysis, rather than a single forecast path. The scenarios illustrate how different assumptions around energy prices, household behaviour and second-round effects could lead to materially different outcomes for inflation and growth. While inflation remains above target across all scenarios in the near term, the degree of persistence – and hence the appropriate policy response – varies meaningfully. This framework reinforces the MPC's message that policy is not on a pre-set path, and that decisions will be determined by evidence on whether inflationary pressures become entrenched.

**Chart 2: Bank of England inflation forecasts under different scenarios\***



Source: Bank of England, ONS, Macrobond, Lloyds Bank Market Insights

\*see table on the next page for scenario details

## Market reaction and policy implications

While the split vote initially gave the decision a slightly hawkish veneer, the broader message from the minutes has supported a more measured outlook. The recognition that financial conditions have already tightened – alongside the emphasis on data dependence – has seen market expectations for near-term rate hikes scaled back, even as the prospect of rate cuts has been pushed further into the distance. For now, the MPC appears comfortable remaining in wait-and-see mode. Inflation risks have clearly risen, but tighter financial conditions and a slowing economy suggest the Committee has time on its side before any further policy action is required.



Table: Key assumptions and judgements in scenarios

|                                            | Scenario A                                                                                                                                                                                          | Scenario B                                                                                                                                                                                        | Scenario C                                                                                                                                                                                     |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Energy prices                              | Energy prices for oil and gas follow the market futures curves over the scenario period.                                                                                                            | Energy prices follow the market futures curves for six months and then follow the average of the futures curves and a constant spot price at six months for the remainder of the scenario period. | Energy prices rise sharply-to a level in the upper tail of option-implied distributions- and remain elevated for a prolonged period.                                                           |
| Second-round effects from new energy shock | No second-round effects from the new energy shock due to weaker worker bargaining and firm pricing power stemming from weaker demand, driven by less consumption smoothing than in other scenarios. | Modest additional second-round effects, consistent with some wage effects from the scale of the energy shock.                                                                                     | Stronger and more persistent additional second-round effects, relative to the other scenarios stemming from greater effect of the energy shock to inflation expectations and wages and prices. |

Source: Bank of England, April 2026 Monetary Policy Report



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